the new law in court. In May 2026, the apex court, ruling in a case concerning online gaming, held that once money is staked, the question of skill versus chance falls away.

OFFSHORE CHALLENGE

For offshore syndicates, India's prohibition changed the risks but did not necessarily remove the opportunity. Many were already based abroad; their websites, financial controllers and promoters were outside India, even as customers and collection agents remained within the country. So, post the ban, some continued targeting Indian players via alternative websites, messaging groups and payment arrangements designed to conceal the nature of the transactions. Virtual private networks could enable users to circumvent some location-based restrictions.

Surrogate advertising was already providing another route into the Indian market. Brands associated with betting operators were promoted under names suggesting sports news, sporting activities or other ostensibly permissible services. The ED's investigation into 1xBet, for example, examined promotions conducted through names such as 1xBat and 1xBat Sporting Lines. Celebrity endorsements and sports-related publicity helped such brands acquire visibility among Indian audiences. The challenge was to dismantle the wider ecosystem.

The ED began with tracing the movement of betting proceeds and their laundering into overseas properties and Indian investments. The Central Bureau of Investigation (CBI) pursued alleged corruption and the network's domestic facilitators, while tax authorities examined the vast revenues on which operators had allegedly avoided paying dues.

Nothing demonstrated the coordination better than the Parimatch investigation. In August 2025, the ED searched 17 locations across eight Indian cities in connection with the Cyprus-based betting platform, freezing approximately Rs 110 crore in bank accounts suspected of being used to collect or conceal funds. According to the agency, Parimatch had generated more than Rs 3,000 crore from Indian users in a year. Investigators alleged that customer deposits were collected through mule accounts—bank accounts opened or used to channel funds without the knowledge of their holders—and routed through payment companies. Another investigation into 1xBet uncovered more than 6,000 suspected mule accounts, with transactions indicating money-laundering of over Rs 1,000 crore. By March 2026, the ED had attached Rs 37.23 crore assets in the case. INDIA TODAY reached out to Parimatch and 1xBet but received no response.

WHAT THE NEW LAW SAYS

- **NATIONWIDE BAN:** The Promotion and Regulation of Online Gaming Act prohibits 'online money games', irrespective of whether they rely on skill or chance
- **NO ADVERTISING:** Promotion and advertising of such games are banned
- **PAYMENT BLOCKADE:** Banks and payment systems cannot process transactions linked to these games
- **STRICT PENALTIES:** Operators and financial transaction facilitators face up to three years in prison, a fine of up to ₹1 crore, or both. Advertisers face up to two years and/or ₹50 lakh fine
- **WHAT'S ALLOWED:** E-sports and online social games without monetary stakes are permitted

The mule account problem has also forced changes in the payment system. The National Payments Corporation of India directed banks and payment service providers to deploy real-time fraud-risk systems for UPI transactions. The RBI's AI-based MuleHunter.AI, adopted by 26 of 53 banks, is now being fed suspect identifiers from the Indian Cyber Crime Coordination Centre's registry. In August, the SC directed the RBI to frame standard procedures for mule accounts, including temporary debit holds.

In the Mahadev-linked investigation, the ED has named 116 accused, including 42 in its sixth prosecution complaint this September. It has made 14 arrests and seized or attached assets worth at least Rs 4,336 crore. The CBI has filed eight chargesheets, naming around 100 accused. Its latest arrest was that of Chandrakar's aide Abhishek Kumar, detained at Hyderabad airport after arriving from Dubai on September 24.

Chandrakar himself has remained beyond the reach of Indian authorities, moving between overseas jurisdictions. He was earlier detained in Dubai but released after India's extradition request went unexecuted. India is now pursuing his extradition from Oman, but Omani law bars his handover until the passport case there runs its course, potentially delaying his return. According to ED officials INDIA TODAY spoke to, Chandrakar has offered information on the network in exchange for witness protection.

His co-founder, Ravi Uppal, was alleged to have "fled Dubai", according to a government submission before the SC last year. In January, he reportedly challenged the Red Notice issued against him before Interpol's commission, calling the cases politically motivated. His whereabouts remain unknown. That said, none of the individuals named here has been convicted. Both Chandrakar and Uppal had vehemently denied any association with the alleged racket. The ED's allegations remain to be tested in court, and its provisional attachments are subject to further review.

The crackdown has also exposed enforcement challenges. Payment aggregators and banks perform legitimate and essential functions within India's digital economy. The discovery that criminals used their services does not, by itself, establish that the institutions or their executives knowingly participated in illegal activity. The ultimate measure of success, then, will not just be the number of applications banned, websites blocked or bank accounts frozen. It will be whether India can dismantle offshore betting syndicates and bring their domestic protectors to book. ■